

## Exhibit B: 2018 OSC Audit and Village Response

**Prepared for:** Memorandum to the Village Board of Tuxedo Park **Audit:** New York State Office of the State Comptroller Report 2018M-66

### Scope and chronology

OSC's principal audit period was January 1, 2015 through May 17, 2017. Its professional-services review extended through December 2017. The principal period therefore ended before David C. McFadden became Mayor in July 2017, while the professional-services testing crossed the transition.

### Audited findings

| Area                             | OSC finding                                                                                   | Amount or population            |
|----------------------------------|-----------------------------------------------------------------------------------------------|---------------------------------|
| Professional-service competition | Competition was not solicited for 14 of 15 professional-service providers                     | \$926,188 paid                  |
| Written professional agreements  | Five providers lacked written agreements                                                      | \$169,330 paid                  |
| Required quotations              | 11 of 23 tested purchases lacked required quotations                                          | \$102,543                       |
| Clerk/Treasurer controls         | Incompatible duties created the ability to execute and conceal transactions without detection | Structural control finding      |
| Water billing                    | Rate documentation and billing controls were inadequate                                       | 494 inaccurate bills identified |
| Information technology           | Policies, recovery planning, filtering, and security training required improvement            | Control finding                 |

The dollar figures above describe different audit findings and are not additive.

### Clerk/Treasurer language

OSC stated:

*"Although our audit did not disclose significant findings with respect to the Village Clerk/Treasurer's activities, the Village Clerk/Treasurer had the ability to easily execute and conceal transactions without detection."*

The Village's October 16, 2018 response stated:

*"Additionally, and more importantly, we are pleased that no instances of misappropriation or serious misconduct were discovered during the lengthy and in-depth investigative process."*

The two statements should be read together. The audit did not disclose significant findings in the activities examined, but it did identify a segregation-of-duties weakness.

### Recommendation crosswalk

| OSC recommendation                                       | Documented response or later record                                                                                       | Supported assessment         |
|----------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|------------------------------|
| Segregate incompatible duties or add compensating review | Village committed to additional review; later procedures required specified advance-paid claims to return for Board audit | Corrective review documented |

| OSC recommendation                                         | Documented response or later record                                                               | Supported assessment                        |
|------------------------------------------------------------|---------------------------------------------------------------------------------------------------|---------------------------------------------|
| Solicit and document competition for professional services | Village response described interviews and proposal review for the attorney and engineers          | Competitive-selection process described     |
| Use written professional agreements                        | Later engineering records contain written scopes, fee schedules, amendments, and acceptance terms | Written-contract discipline documented      |
| Obtain required written quotations                         | Later sewer records identify original bid prices and quotations for added work                    | Project-level quotation practice documented |
| Clarify water and capital-improvement rates                | Public rate information was later available                                                       | Public documentation improved               |

## Procurement comparison

The \$926,188 figure is an audited historical population. The later record consists of policy changes and documented examples, not a second audit using the same sampling method. The later examples document changes in procurement procedures and contract documentation. This exhibit does not claim that later noncompetitive spending was zero.

## Source

- New York State Office of the State Comptroller, Village of Tuxedo Park: Board Oversight, Report 2018M-66.

No finding of completed remediation is made here for billing corrections or IT recommendations. Later project examples are identified in Exhibit C and its December 14, 2022 engineering source; they are not a follow-up audit.